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HOW ABOUT CITY RIGHT TO WATER

COUNTY SEAT'S LIEN UPON POWER AT FALLS SEEMS TO BE ODDLY MIXED

VALUE MAY BE $5000 A YEAR

Proposed Sale of Old Filtration Station Brings on Discussion that Reveals Odd Situations

Has Oregon City got any water rights that the proposed sale of the old filtration plant at the foot of Main street will jeopardize; what are these water rights worth; could they be utilized in operating a city power plant; or has the city lost all the rights it ever possessed?

These are just a few of the questions that are being asked in the county seat these days whenever the subject of the sale to the Hawley Pulp & Paper company of the filtration plant come up. In an effort to find answers for these questions The Courier has made a few inquiries of its own, and it herewith offers the information that has been given in reply.

The city has at present a flume leading from the basin to the pumping station in the filtration plant. This flume furnishes power for a Victor water wheel which in times past has generated sufficient power to operate the pumps, and which is said by many hydraulic engineers to be capable of delivering enough water to generate 250 horsepower any time the city wants to make use of this power. The water which the city gets through this flume is obtained on a lease, given by the Willamette Transportation & Locks company, in April, 1891, and subsequently extended by the Portland Railway, Light & Power company in return for a franchise for high power transmission lines on Water street. The original lease provided that the city could utilize the water thus obtained solely for operating the pumps and for municipal supply; but the extension of the lease, as embodied in the franchise for transmission lines on Water street, says in part:

"* * * such agreement * * may provide for the use of the water for power purposes leased by said indenture * * * * * at other places and upon other land than that occupied by Oregon City under said lease dated April 6, 1891."

Attorneys familiar with the water tangle, and among whom is Livy Stipp former city recorder, construe this part of the franchise as giving the city the right to use this flume for any municipal power purpose, and declare that it abrogates any previous provisions confining the power solely to the operation of pumps. If this view is correct, Oregon City has a legal right to use the water taken through this flume to operate hydro-electric machinery if it so desires, or for other mechanical power purposposes. That this right is valuable is indicated by the fact that J. W. Moffatt, of the Oregon Engineering & Construction company, at one time expressed a willingness to pay the city $3,500 a year for this water power. Other offers have been made, some placing the value of the potential horsepower that could be developed from the water in the flume as high as $6,000 per annum.

Hence, striking an average of $4,000 per year as a fair valuation of this water power, and with a term of 17 years yet to run on the lease, the available water power that might be developed from the flume leading to the city pumping station is at least $68,000.

Citizens familiar with this are asking if the council has sufficiently protected the city's title to this water power in its pending deal with the Hawley Pulp & Poper company. And the added question is asked: is the city by any chance selling this $68,000 water power right for $20,000?

According to J. L. Hedges, a former member of the city water board, members of the present water board have been informed by officials of the Portland Railway, Light & Power company, that the city hasn't any water rights at all in connection with the flume. Whatever right the city may have had, according to the power company, expired when the city ceased using the flume to operate the pumps in the filtration plant. And it is further reported that it was hearing this "news" that caused at leact one member of the present board to look into matters, and to conclude that the power company was incorrect in its conclusion of fact. This lack of unanimity of opinion in the water board is declared to have resulted in throwing the matter of the sale to the Hawley people into the council—instead of having it all settled by the water board.

In the outlined plan for granting the Hawley concern an option on the filtration plant and all that goes with it, the council—after much discussion—provided a number of "safeguards" designed to protect any rights that the city might possess. Attorneys who have read these provisos say that if they are all strictly adhered to that the municipality will lose nothing; but they add that the council should be very sure that every proviso is clearly stated in any agreement that may be reached with the purchasing concern before the deal is ratified.

Profound interest in Oregon City's right to a portion of the vast water power generated at the falls has been shown by the different development companies that have from time to time appropriated the falls of the Willamette. Officers of the Portland Railway, Light & Power company, the present holder of all the water power, are said to have expressed a fear that Oregon City would sometime wake up to the fact that it had a right to much of this power, and would construct a municipal hydro-electric power plant and enter into competition with the private corporations. An official of the P. R. L. & P. is even quoted by some citizens as having said that it would be worth $10,000 to his company to know that Oregon City could not construct such a plant.

As to Oregon City's right to power, there seems to be no question, should the matter ever be carried into the courts. According to Livy Stipp, who has made a lengthy report to former councils on this matter, and whose report is now the basis of a "friendly suit" between the city and the power company over the ownership of a small tract of land abutting on the basin at the foot of Main street, Oregon City is in an excellent position to develop all the water power it wants.

In delving into the past records, Mr. Stipp finds that before the basin was created, the extension of Main street known as the Canemah road, ran diagonally across the present basin behind the dam. Later on, when the first improvement work was under way, a predecessor of the present power concern persuaded Oregon City to agree to a re-location of this road, so that it turned sharply at the basin wall, and bordered the basin to a point above the dam. This part of the city's street, therefore, borders the basin, and so gives Oregon City a "right-of-way to water." While this in itself gives the city no actual water right, the city may appropriate water abutting its land at any time it so desires, and may take as much as it needs. Or it may file upon a certain portion of this water, and thus establish a water right which it can hold until such time as it desires to utilize it. But merely having land that runs to the water does not give the city a "water right."

Thus it is to be seen that if Oregon City desires at any time to establish a municipal lighting and power plant—such, for instance, as the one that gives Tacoma a large part of its present revenue—the way lies open even if the Hawley deal is found to confiscate the actual water right which the city now possesses, and which is worth at least $68,000. To develop this further water right, however, would require a considerable expenditure; whereas the present right that goes with the flume could be utilized (at least to the extent of 250 horsepower) in the old pumping station and filtration plant.

Such water rights as the city may possess in connection with the present flume, according to Mr. Stipp, have the added advantage of being priority rights—that is to say, the city has title to such water as it needs even though the level in the basin may be so low that there is only water enough for one flume. In that case the city could get this water, and the other flume would have to lie idle. This priority right is among the things that lead hydraulic engineers and others to place the high financial value on the city's title to the water of the Willamette.

to the sale of the pumping station and

Incidentally there is another side filtration plant that has not as yet been brought out at the councilmanic discussions of he matter. This is perhaps best voiced by J. L. Hedges, who when aked by M. D. Latourette for an opinion on the proposed sale of the city property, said:

"It seems to me that it would be a good thing first for the city to consider what it has, and not to sell anything until it has something else just as good. The pumping station and the old filtration plant is the only water supply which Oregon City at present owns—the pipe line is still in the hands of the contractors and has not been accepted or turned over. I cannot see the wisdom in selling the old water plant until we have a new one, to say the least.

"Also, if we sell the old plant, we ought to have emergency provisions to supply the city with water should there be trouble in the pipeline. When you bring me the report of a hydraulic engineer that Oregon City has a sufficient emergency equipment—reservoir or otherwise—then I will be ready to consider the disposal of the old plant. If the old plant is no good and of no further use, of course we ought to sell it. But we ought not to leave the city water supply unprotected.

In brief the Courier's queries have led to the following replies. Oregon City has a water right worth at least $68,000 in connection with the present flume to the pumping plant, under the lease from the Portland Railway, Light & Power company; and also the right of its own for any water power developed and used in addition to that covered by the lease. These rights may be protected by the council, even if the filtration plant is sold; but it will require careful work so to do.

Oregon City has a "right-of-way

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"SOLID FIVE" HAS WAY IN COUNCIL

PROTESTS OF CITIZENS AND MINORITY OVER-RIDDEN IN WATER SALE CASE

FINAL STRUGGLE AFTER XMAS

Ordinance Authorizing Option Passes First Reading and Will Come Up For Final Action December 28

Councilmen Templeton, Meyer, Andrews, Long and Albright constituted themselves into a new alliance Wednesday evening at the council meeting, and voting as a "solid five" sent on its way unaltered an ordinance giving the mayor, recorder and board of water commissioners the right to give the Hawley Pulp & Paper company a 60-day option on the filtration plant at the south end of Main street. Similar steam roller tactics sent along another ordinance providing for the sale of Cataract fire house and the five, voting as a unit, also blocked efforts of Councilman Hackett to get a change in the option ordinance that would increase the protection given the city.

A considerable gathering of property owners and taxpayers were present in the council chamber when the option ordinance was brought up. The ordinance was drawn by the Honorable Christian Schuebel, "city attorney," and his draft of it was later submitted by the mayor to City Recorder Loder and to Livy Stipp for approval. In the final form in which it was submitted to the council it had the approval of these two attorneys.

After the ordinance was read Mr. Hackett moved that a portion of the first section be stricken, saying that the part he wanted removed gave he Hawley Pulp & Paper company power to place the city pumping plant and the reserved room for power-generating purposes out in the street, and did not make it necessary for the paper company to provide any means of getting to the city's property. Councilman Van Auken seconded Mr. Hackett's motion to strike this portion of the ordinance.

Speaking for Mr. Hawley's interests, C. D. Latourette said that as long as the surface of the street was left unincumbered, Mr. Hawley's property rights extended to the center of Main street, and that it was therefor all right for Mr. Hawley to put the city's space in the street if he desired.

Councilman Albright hopefully called Mr. Hackett's attention to the possibility that Mr. Hawley might not move the pumping plant at all. Mr. Templeton proved that he was also an optomist by saying that perhaps Mr. Hawley would make the city a present of a brand new pumping outfit that wouldn't take up as much room as the present plant.

H. L. Stevens, a property owner, asked the council what the city would do if they wanted to install a dynamo in connection with the pumps and found that the Hawley company hadn't left any room for such machinery. He said he thought the council ought to insist on extra room.

"We have to have some way to get to our pumping station, wherever it is," said Mr. Hackett. "If we let them push us out in the street, how are we going to get to it. This provision here gives them permission to do that anybody at all can see that if they read it at all carefully."

Mr. Schuebel was also optimistic, and said that the ordinance under discussion was not the option itself, but that the option would be drawn before the ordinance came up for final passage, and that if the option didn't suit the council or did not sufficiently protect the city, the council could end he entire matter by refusing to pass the enabling ordinance.

J. E. Hedges, former member of the water commission, also addressed the council, declaring that he was speaking only as a private citizen and taxpayer, and that he had no other interest in the proposed sale of the filtration plant.

"There are three reasons," he said, "why I deem this plan unwise at this time. The first is that two members of the water board of this city have told me that Oregon City has no right whatever at this time to take water from the South Fork. Secondly, it is a fact that the present water supply is contaminated. Thirdly, we have no adequate assurance that we should be free from the perils of conflagration or disease should there be a shortage of water. I think it foolish to take any action towards selling the old water plant until we have a supply of water to take its place. We are now almost entirely in the hands of the Portland Railway, Light & Power company, and if this ordinance passes they can squeeze us to death. We ought to have competent engineering talent pass on the matter of the emergencies that might be created should our pipe line go out for any reason. With a reservoir that has but a ten-hour supply for the city the emergency danger is very grave. You talk of building a new reservoir for emergency supply with the $20,000 that will be realized from the sale of this plant. The estimate of the water board for a reservoir some time ago was $45,000, and there is no reason to believe it can be built for less today. So you would have to add $25,000 to this $20,000, and then several thousand more to provide for filtration purposes. So, gentlemen of the council, as a citizen and taxpayer I earnestly beg you to cut this out and not think of selling until these three cardinal reasons that I have stated are done away with."

Without further discusston the Hackett motion went to vote, and lost five to two, Hackett and Van Auken opposing it and the solid five being for it. By the same vote the ordinance was passed to second reading, and will come up for final passage at half past seven on the evening of December 28. Similar five-to-two action was taken on the ordinance relating to the sale of Cataract fire house.

This having been settled, the council listened to an offer from the Lumberman's Trust Company, of Portland for the purchase of the $275,000 issue of refunding bonds at par and accrued interest, the delivery of the bonds to be not later than the end of January. The offer called for immediate acceptance, and after much discussion it was accepted and a cheque of $2,000 was deposited to bind the bargain. After the council meeting another bonding house man called on the mayor and said his firm would have made a better offer. The city administration, however, believes that it acted wisely in accepting the par and accrued interest offer, as it will make money available the first of the year to pay off the city's outstanding warrants.

An ordinance authorizing the sale to Morris Brothers of $8,938 of street improvement bonds was passed to second reading and will come up for final passage December 28. Ordinances providing for a right-of-way of the South Fork pipeline, and declaring the assessments on Third, Seventh and Tenth streets, were all passed. Election bills were audited and passed. J. O. Staats was named as approiser to take the place of Mr. Vonderahe, who was unable to serve.

While Councilman Hackett was auditing election bills the council accepted Main street, as delivered by the Worswick company. Permission was also given the street committee to move a Home Telephone company post at Sixth and High streets, which is in the way of the elevator walk.

Councilmen Cox and Metzner were absent during the meeting.

PERMANENT ROAD SYSTEM PLANNED

TAXPAYERS VOTE FOR ANNUAL EXPENDITURE OF PORTION OF HIGHWAY LEVY

HARD SURFACE WORK ASKED

Public Budget Meeting is Lively and County Court Hears Views of People Upon All Expenditures

Tuesday's session of the public taxpayers' meeting, at which the budget was under consideration, made history in Clackamas county; for by a majority vote the county court was authorized to set aside two mills out of the annual road tax for permanent, hard surface improvements of the county highways.

The annual levy of eight mills, henceforth, will include two mills for hard surface work. It is possible that if the hard surface makes a hit with the taxpayers that at subsequent meeting the amount set aside for this style of paving will be increased. Under the present levy a two mill apportionment will make available about $60,000 for the permanent highway work. The resolution authorized this two-mill apportionment was warmly supported by Harvey Cross, Charles E. Spence of the Grange, and by others, and was opposed by but few. The resolution adopted is as follows:

"Resolved, that the taxpayers of Clackamas county, Oregon, at the annual budget meeting thereof held in Oregon City, Oregon on December 14, 1915, hereby recommend and the county court of Clackamas county, Oregon, is hereby instructed and directed to levy a tax on all taxable property covered by the 1915 tax roll, of two mills on the dollar, the money to be raised therefrom to be expended in the construction of recognized standard hard surfaced roads in 1916, on such main trunk roads as shall be elected by the court of said county, and we recommend that such roads be not all constructed in one locality, but that the same bed istributed in different portiions of the county, to the end that the same may be traveled by the greatest number of people.

"We further recommend that no substitute, such as bituminous macadam, asphaltic macadam or any other types of macadam be used."

Among the few who opposed the plan of permanent highway work was Robert Schuebel. Mr. Schuebel at

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WHO BACKS NAVY LEAGUE SCHEMES?

CONGRESSMAN SENDS OPEN LETTER TO CHIEF BOOSTER OF PLAN

AMMUNITION NAMES FIGURE

Organization Designed to Further Issue of Sum of Bonds for Ship Building Seems to be "Biased"

HOUSE OF REPRESENTATIVES
Washington, D. C., Dec. 2, 1915.
Colonel Robert M. Thompson,
President, Navy League,
Washington, D. C.

My Dear Colonel:—

I assume from your letter of the 20th ult., and from your various utterances as President of the Navy League, that the impression you desire to create in the minds of the American people is that none of the men who founded, or who have been, or are now, directors of or contributors to the Navy League, have ever been, or are now, in any manner interested in any concern which would profit fiancialy from the $500,000,000 bond issue for battleships, etc., which you are advocating.

I understand your position to be that none of the money which the Navy League has used to banquet Mmebers of Congress and Secretaries of the Navy or to carry on the propaganda for the vastly increased naval appropriations which you advocate, has come from any gentleman who stand to profit therefrom. I contend that the opposite is true.

In your letter you request that I give you some specific information.

I call your attention to the fact that Elbert H. Gary, who is described in the Directory of Directors for 1914 as "Chairman of the Board of Directors and Chairman of the Finance Committee of the United States Steel Corporation," contributed $1,000 on June 10, 1915, and that on the same date representatives of the J. P. Morgan estate subscribed $2,000.

I call your attention to the fact that J. P. Morgan, who is a director of the United States Steel Corporation, was formerly treasurer of the Navy League and is now a director of and a contributtor to the Navy League and that J. P. Morgan's brother-in-law, Herbert L. Satterlee, was one of the incorporators of the League. I also note that Edward T. Stotesbury, a member of the firm of J. P. Morgan & Co., and a director of the Baldwin Locomotive Works, Cambria Steel Co., Phoenix Iron Co., Riverside Metal Co., Temple Iron Co., Wm. Cramp & Sons Ship and Engine Building Co., and fifty-four other corporations, banks and trust companies, is one of the honorary vice-presidents of the Navy League.

I also call your attention that George F. Baker, Jr., 2, Wall Street, New York, son of a director of United States Steel, contributed $1,000 to the Navy League, June 10, 1915.

I also call your attention to the fact that Robert Bacon, formerly a member of the firm of J. P. Morgan & Co., and now first director of United States Steel, is a director of the Navy League.

I call your attention to the fact that Henry C. Frick, a director of United States Steel, and ten other corporations, banks and trust companies, is one of the vice-presidents of the Navy League.

United States Steel controls the Carnegie Steel Company, which has drawn down from the Navy contracts aggregating $32,954,377 for armor plate alone, and if the Navy League's $500,000,000 bond issue goes through Congress this firm will profit still further.

I call your attention to the fact that Allan A. Ryan, a director of the Bethlehem Steel Corporation, contributed $100 to the Navy League on June 10, 1915, and to the further fact that George R. Sheldon, a director of the Bethlehem Steel Corporation, and the American Locomotive Co., both of which concerns have profited hugely from European war orders, is one of the vice-presidents of the Navy League. Mr. Sheldon is also a director of twenty-four other corporations.

The Bethlehem Steel Corporation has obtained from the Navy Department armor contracts amounting to $42,321,237, and if the Navy League's program goes through, Bethlehem stands to receive increased orders.

From the foregoing, it would appear that two of the three concerns composing the armor ring in thsi country have representation either among the contributors to the Navy League or among the officers or directors of the Navy League.

The Government has purchased from these two concerns, Bethlehem and Carnegie, $75,275,614 worth of armor plate, paying an average price of approximately $440 a ton therefor.

If this armor plate had been manufactured in a government armor plate factory, which the Navy League has cold-shouldered, at least $25,000,000 could have been saved to the American taxpayers. There have been ten estimates by Government officials as to the cost of armor in a Government plant and the average of these estimates is $238 a ton. By contrasting $440, the price we have paid the private manufacturers, with $238, the cost at which we might have manufactured this armor in a Government plant, it is possible to obtain an inkling as to the reason we do not now have more preparedness to show for the colossal appropriations made for that purpose.

I note there are thirty-one directors of the Navy League. The personal fortunes of these thirty-one men, by the most conservative estimate, aggregate $100,000,000, or $3,000,000 to each director. I contend that any board of directors whose individual fortunes average $3,000,000 can hardly be considered as representative of the views, feelings and heartbeats of the great mass of the American peopie.

On November 19th I publicly stated that inasmuch as the Navy League insisted that its management and backers are entirely free from any atmosphere of war-trafficking influences, I would, as soon as Congress convened, introduce a resolution providing for an investigation of the League, specifically requiring J. P. Morgan and other directors of the League, past and present, to take the responsibility of testifying, under oath, whether they are interested or ever have been, in war-trafficking firms, or concerns which stand to profit from the proposed $500,000,000 bond issue.

On November 21st I received a letter from you threatening a suit. I consider your letter nothing more nor less than an attempt to intimidate me into abandoning my plans to seek a Congressional investigation of your organization. When I am right, the Navy League cannot intimidate me.

I now desire in all good faith to take the responsibility of making a suggestion to the Navy League. I suggest that you call a meeting of the Board of Directors and go on record in favor of the Government manufacture of battleships, submarines, armament, munitions, etc., in order that the people may obtain the preparedness which you are advocating at cost. I recommend that you either do this or fold your tent and quietly take your departure from the National Capitol.

Very respectfully,
CLYDE H. TAVENNER.

CHANCE FOR SCHOOLS

State University Offers Rose Bushes to Four-Year Highs

Four thousand Frau Karl Druschki rose slips, rooted and growing, are to be given away this college year to the four-year high schools of the state by the University of Oregon. The plants are to be set out on the highschool grounds and cared for.

Any time after the first of January, the desired number of slips—from 12 to 20—will be shipped prepaid on the request of the high school principal, the chairman of the board, or the president of the student body. The requests will be filed and filled in order of receipt, but some of the eastern Oregon shipments will be held up until after thehard freezes.

H. M. Fisher, superintendent of the University grounds, says that the roses are a uniformly hard and vigorous variety. The two-hundred-foot hedge from which the slips are cut, is even now full of large white buds. Most of the 1600 cuttings sent out last year grew, Mr. Fisher says. It was the first time the offer has been made, and there were more requests than could be filled. Even the grade schools began asking for them. Mr. Fisher says that by close trimming the parent hedge could furnish as many as 10,000 slips, so prolific is it.

"PUNCH BOARDS" OUSTED

Chief of Police Conducts "Clean-Up" in County Seat Stores

The Honorable Christian Schuebel, "city attorney" at the county seat, said last Wednesday night in the council meeting that he wasn't sure whether or not Oregon City had an ordinance forbidding such games of chance as "punch boards" and other lottery-like things.

Chief of Police Ed Shaw wasn't as doubtful about the laws as the "city attorney," however, and Wednesday afternoon, before Christian even started to think about the thing, he went out and made a round of the cigar and candy stores where "punch boards" had been installed and confiscated the whole lot of them. There IS a city ordinance against them.

Storekeepers from whom the punch-boards were taken were not particularly pleased at the work of the chief, for these little devices have been bringing them in close to ten dollars a day. Most of them said that they were in the same class as the "city attorney," and didn't know that there was an ordinance against them.

Bank Picks Officers

The Bank of Commerce of Oregon City held its organization meeting in the rooms of the Commercial Club Tuesday December 14, and the following directors were chosen: George H. Brown, E. P. Dedman, Joseph E. Hedges, John R. Humphrys, B. T. McBain, H. S. Mount, Charles W. Risley, Thomas F. Ryan and Leroy D. Walker.

The Directors met in the afternoon and elected the following officers: Leroy D. Walker, president; Thos. F. Ryan, vice-president, and John R. Humphrys, cashier.

FACTORY GROWTH IS LOOMING NEAR

OPTION ON CITY FILTRATION PLANT ORDERED GIVEN BY CITY COUNCIL

HAWLEY PLANNING EXTENSION

Class A Reinforced Concrete Building To Be Built and 200 Extra Men To Be Employed, Is Scheme

Providing that no hitches in future developments occur, Oregon City will shortly have considerably more industry than it has at present. The city council has authorized the drawing of an ordinance which will give the Hawley Pulp & Paper company a 60-day option on the old city filtration plant; and the Hawley company has agreed that if it takes up the option it will build a modern, reinforced concrete addition to its present mill that will employ 200 men and take up the entire block on the east side of Main street from Third street south to the present sulphite mill.

All this development and change in the lower end of the county seat is contingent upon the sale of the old filtration plant—a matter over which the council is at present divided. The Hawley company has offered $20,000 for the filtration plant property, and for this sum the city will throw in with the deal the present quarters of Cataract hose company, at the corner of Third and Main street. In return the mill company guarantees to safeguard the city's interest in water power carried by the lease held by the water board and centering about the flume that furnishes power and water for the old pumping station.

Much discussion about these water rights occupied the time of the council Saturday, when a special meeting was held to start the ordinance calling for the granting of the option on the property. Before that a special committee, consisting of Templeton, Albright, Metzner and Cox had been appointed to look into the matter. This committee returned a report Saturday, and when the adoption of the report was put to a vote, affirmative action by a majority of the council followed.

The report, as presented to the council, did not carry the name of Mr. Cox. Explaining this, Councilman Cox said that he was not ready to sanction the deal at the time Templeton, Albright and Metzner signed the list of restrictions that the committee desired to rotect the city's water rights. When the adoption of the report came up, Templeton, Albright, Metzner, Andrews and Mayer voted for it; Hackett and Van Auken voted against it, and Cox declared that he desired to be excused from voting.

Mayor Jones asked Councilman Cox to vote. Mr. Cox explained that he "was not yet ready to vote." Mayor Jones instructed the recorder to put Mr. Cox down as voting "no," and it was done.

The report of the committee, embodying the protective restrictions that the committee desired, is as follows:

We, your committee, to whom was referred the matter and proposition of the purchase of the real estate belonging to the water department of Oregon City and situate on Main street near the present Hawley sulphite plant and also the purchase of the land owned by Oregon City where the Cataract Hose Company's house now stands by the Hawley Pulp and Paper company, respectfully report as follows:

That the option requested by the Hawley Company be granted upon the following conditions:

That 1. That the purchase price for the real property owned by the water department be $20,000.00.

2. That the Hawley Company grant or there be reserved sufficient ground space to keep and maintain two pumps, water wheel and for machinery for development of power electrically up to the capacity of the present water wheel or the water required to run the present water wheel.

3. That said ground space be either on the property of the Hawley company or in the street. The Hawley company to build the concrete house for same, if in the street or prepare the floor space if on the property purchased under this option by the Hawley company and further preparation is necessary and Hawley company to remove and set up the pumps, etc., at its expense.

4. The City is to permit the Hawley company to tap the flume for flushing purposes, etc., provided such tapping will not interfere with any of the water rights of Oregon City.

5. Hawley Pulp and Paper company is to grant to Oregon City the right to maintain the present water main across land, and the right to maintain additional main should the City deem it necessary to install filtering system at reservoir and said installation would require such a separate line..

6. That the Hawley Pulp and Paper Company agree to move the present fire house on Third and Main

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